

Loan Processing Standard Operating Procedure

1. Loan Application

Customers submit completed loan application with personal and financial information. Required documents: Income proof (last 6 months), bank statements (last 12 months), employment letter, identification documents.

2. Credit Check

Credit score minimum 650 for unsecured loans. Minimum credit score 500 for secured loans. Customers with credit score below 500 are automatically rejected.

3. Loan Limits

Maximum loan amount is 5x annual verified income. Minimum loan amount \$5,000. Maximum loan term is 10 years. Interest rates range from 5% to 15% based on credit score and collateral.

4. Approval Decision

Loans under \$50,000 approved by loan officer. Loans between \$50,000-\$250,000 require manager approval. Loans exceeding \$250,000 require director and board approval. Decision issued within 5 business days.

5. Disbursement

Upon approval, funds disbursed within 2 business days. First payment due 30 days after disbursement. Missed payment incurs 5% penalty. Default after 90 days triggers recovery process.